

IPOs & Rights Issues

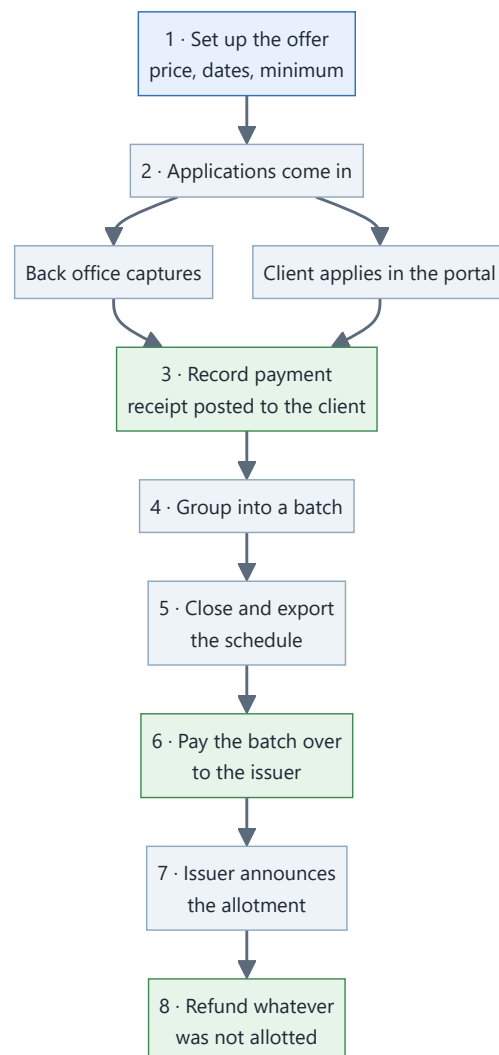
What has been built

For: Project Manager / Cedar Capital · **Date:** 10 August 2026 · **Live in production**

1. In one paragraph

The system can now run a public offer end to end: set up the offer, take applications from clients (captured by the back office *or* submitted by clients themselves in the portal), collect the money as a proper receipt on the client's account, group applications into batches for the issuer, pay each batch over, record what the issuer actually allotted, and refund the difference. All ten menu items under **IPOs & Rights** are working — none say "Coming soon" any more.

2. The full journey

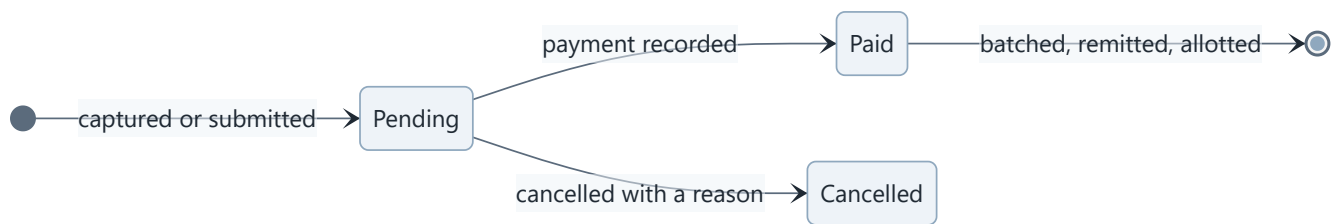


Green steps move money — each posts a real entry to the client's account.

3. Where each menu item fits

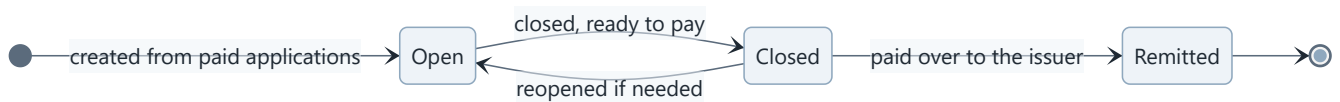
Menu item	What it is for
Offerings	Set up and manage each offer — name, type, price, dates, minimum application, receiving bank. Open and close the offer here.
Applications	Every application, with capture, edit, payment, cancellation and spreadsheet export.
Right Issues	The same screen, filtered to rights issues only.
Unbatched Applications	Paid applications not yet grouped — the working list when preparing a batch.
Batched Applications	Applications already in a batch.
Unbatched Forwards	Applications being passed to another broker, not yet grouped.
Batched Forwards	Forwarded applications already grouped.
Batch Summary	Every batch with its count, shares, value, allotment and refund due.
Unchequed Batches	Batches not yet paid over to the issuer.
Chequed Batches	Batches already paid over.

4. How an application progresses



Once an application is paid it can no longer be edited or cancelled — correcting it means reversing the receipt through the normal payment-reversal control, so the audit trail stays intact.

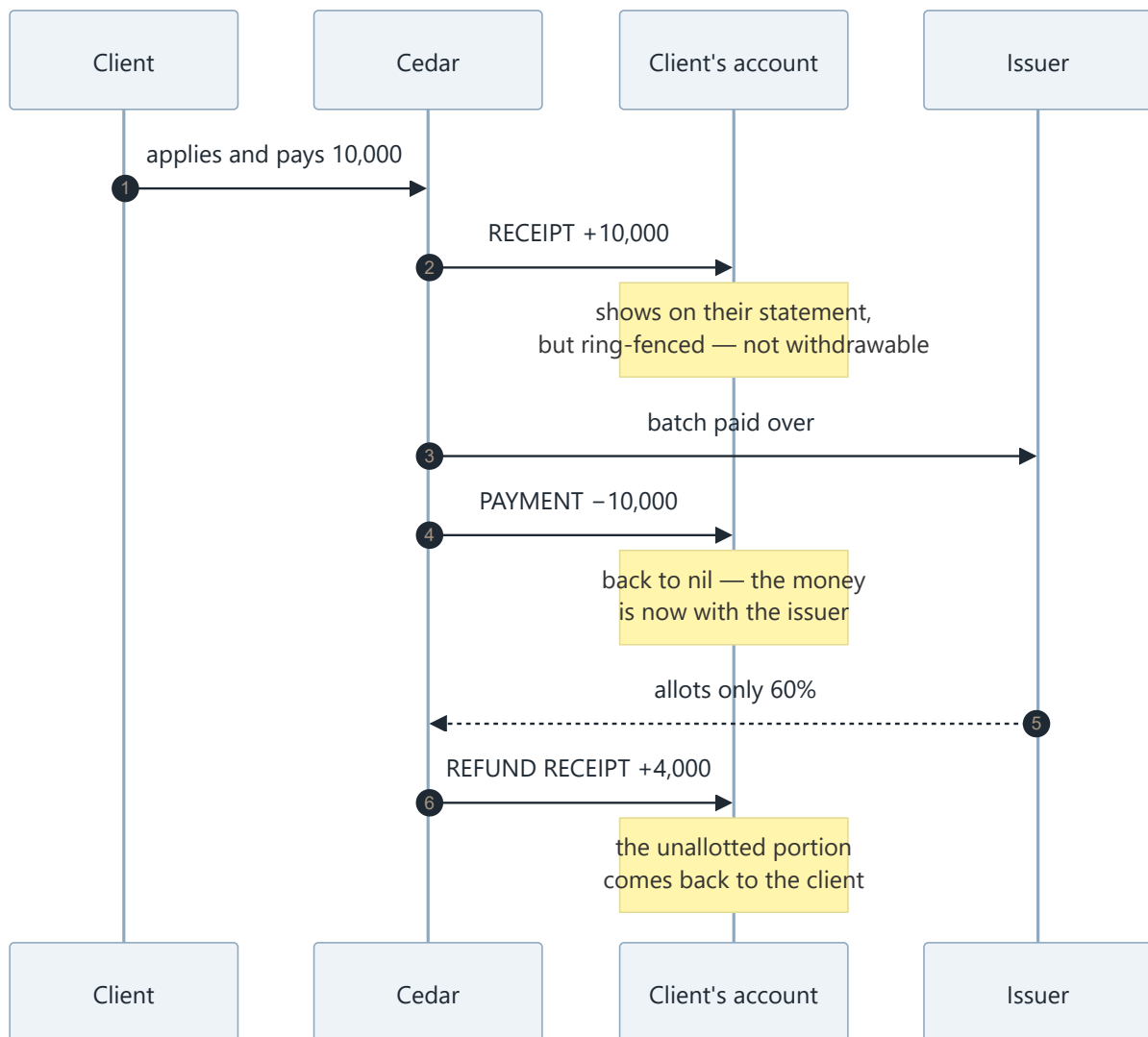
5. How a batch progresses



Only **paid** applications can go into a batch — the batch is a request for money to go to the issuer, so an unpaid application has nothing to send. Applications the broker submits itself and those forwarded to another broker are never mixed in the same batch.

6. How the money moves

This is the part worth reviewing with the accountant.



Three points to confirm with the accountant

1. **Money in is a real receipt**, not a note in a field. It gets a receipt number and appears in the cash book, on the client statement and in the payments register, exactly like any other receipt.
2. **Ring-fencing**. Money paid for an offer is deliberately excluded from the client's withdrawable balance. Without this a client could pay for an offer and then withdraw the same money before Cedar forwards it to the issuer.
3. **The remittance posts one payment per client**, not a single lump sum. Cedar's own history shows both approaches, but only the per-client form clears each client's balance — a single lump would leave every applicant still showing credit for money that has already gone to the issuer. *If the accountant would rather see one line in the cash book, please say so.*

7. Controls built in

The system refuses each of these, with a plain-English message:

Attempt	Why it is blocked
Applying to an offer that is not open	Only an open offer, inside its dates, accepts applications
Applying for fewer than the minimum, or off the multiple	Enforces the offer's own terms
The same client applying twice to one offer	Keeps the register unambiguous
Changing the price after applications exist	Would restate what applicants already owed
Batching an unpaid application	There is no money to send
Paying a batch over before closing it	The batch must be final first
Paying the same batch over twice	Prevents double payment
Allotting more shares than were applied for	Arithmetic guard
Refunding twice	Already-refunded applications are skipped
Editing or cancelling a paid application	Must go through the receipt reversal control
Deleting an offer or batch with activity	Protects the audit trail
A client marking their own application paid	Only the back office confirms money

Rights issues additionally check that accepted rights do not exceed those allotted, and that renouncing to someone requires naming them.

8. What clients see in the portal

A new **IPOs & Rights** section showing each open offer as a card — price, closing date, minimum and any multiple — with an Apply form that calculates the amount due as they type, plus a list of their own applications and status.

Applications from the portal arrive as **Pending**. The client cannot mark their own application paid; the back office confirms the money and posts the receipt.

9. Not built yet

Gap	Note
Issuer's file format	The export is a clear labelled spreadsheet. The old system had a field for a batch file name but it was never once used , so there is no historic format to copy and none was invented. If the issuer or registrar states a required layout, only the export needs changing.
Allotted shares do not create holdings	The allotment is recorded against the application; it does not yet create a holding. That needs the security to be listed with a CDS number, and a rule for which date to use.
Cheque / EFT refunds are recorded, not produced	The refund is posted to the client's account and the method is stored, but the system does not yet produce a cheque run or bank file.
Undoing a remittance	Reversing a batch means reversing each client payment through the normal control — there is no one-click undo, deliberately.
Notifications	No SMS or email is sent on application or allotment.

10. What we need from you

1. **Confirm the money treatment** in section 6 with the accountant — in particular per-client versus a single lump remittance.
2. **The issuer's required file layout**, if there is one, so the export can be shaped to it rather than guessed.
3. **Whether allotted shares should post into holdings automatically**, and from which date.
4. **Whether clients should be notified** on application and on allotment.

11. Trying it out

Menu: **IPOs & Rights**. A sensible first run:

1. *Offerings* → **New offer** → name, price, dates, minimum → save → **Open for applications**
2. *Applications* → **New application** → pick the offer and client, enter shares → the amount due calculates as you type
3. **Record payment** on that application → choose the bank account and method
4. *Batch Summary* → **New batch** → **Close** → **Export schedule** → **Pay over to issuer**
5. *Applications* → **Record allotment** (e.g. 60% for a scaled-back issue) → **Pay refunds**

Access is controlled separately for setting up offers versus capturing applications, so the two jobs can sit with different people.

